

--SUMMARY--

Decision No. 2285/15I

30-Oct-2015

R.McCutcheon

- Damages, contribution or indemnity
- Jurisdiction, Tribunal (right to sue)
- Right to sue (action for breach of contract)
- Right to sue (third party claims)

The worker was employed by a municipality (a Schedule 1 employer) as a teachers' aide in a daycare facility operated by the municipality on premises within a school. The premises were rented from the school board (a Schedule 2 employer). The worker was injured when she slipped and fell in July 2010. The worker filed a claim for workplace insurance benefits, which was accepted by the Board.

The Board brought a subrogated action in the name of the worker against the school board, alleging the school board was the owner and occupier of the premises and was responsible for maintenance. The school board brought a third party claim against the municipality, claiming that the municipality was required to indemnify the school board based on the terms of the lease. The third party brought an application under s. 31 of the WSIA.

In this decision, the Vice-Chair dealt with the preliminary matter of the issue raised by the Board of the Tribunal's jurisdiction to consider the application. The Board submitted that the third party claim was based in contract and did not contain allegations of fault or negligence.

The Vice-Chair found that the Tribunal had jurisdiction to hear the application, which fell within the scope of the exclusive jurisdiction conferred upon the Tribunal through s. 31, which includes the determination of whether an amount that a person may be liable to pay in an action is limited by the WSIA. It is well established in Tribunal decisions that an "action" includes a third party claim and that the Tribunal has jurisdiction to consider a right to sue application arising from a third party claim.

The Vice-Chair distinguished between jurisdiction to consider an application and determination of an application on the merits. A number of decisions referred to by the parties may be relevant to the merits of the application but do not justify declining jurisdiction. The parties opposing a s. 31 application may certainly advance competing arguments on the merits that a right of action should be taken away because the action is based only on contract. It is also important to appreciate the distinction between a finding that the action is removed and an order limiting a party's liability to contribute to or indemnify another party who is liable to pay damages in the action.

The Vice-Chair concluded that the Tribunal has jurisdiction to consider the application. The hearing will reconvene on the merits.

7 Pages

References: Act Citation

- WSIA 29, 31

Other Case Reference

- [w5015s]
- TRIBUNAL DECISIONS CONSIDERED: Decision No. 764/90 (1991), 19 W.C.A.T.R. 218 consd; Decision No. 413/92 (1992), 23 W.C.A.T.R. 328 consd; Decision No. 518/10, 2010 ONWSIAT 2254 consd; Decision No. 890/94 consd

Style of Cause:

Neutral Citation: 2015 ONWSIAT 2469



WORKPLACE SAFETY AND INSURANCE APPEALS TRIBUNAL

DECISION NO. 2285/15I

BEFORE:

R. McCutcheon: Vice-Chair

HEARING:

October 26, 2015 at Toronto
Oral hearing (via teleconference)

DATE OF DECISION:

October 30, 2015

NEUTRAL CITATION:

2015 ONWSIAT 2469

APPLICATION FOR ORDER UNDER SECTION 31 OF THE *WORKPLACE SAFETY AND INSURANCE ACT, 1997*

APPEARANCES:

**For the applicant,
The Corporation of the Municipality of Red Lake
("the Municipality"):**

S. Brennan, Lawyer

**For the respondent,
Keewatin Patricia District School Board
("the School Board"):**

R.D. Macgillivray, Lawyer

For the interested party, the WSIB:

J.D. Bélec, Lawyer

**Workplace Safety and Insurance
Appeals Tribunal**

505 University Avenue 7th Floor
Toronto ON M5G 2P2

**Tribunal d'appel de la sécurité professionnelle
et de l'assurance contre les accidents du travail**

505, avenue University, 7^e étage
Toronto ON M5G 2P2

REASONS

(i) Introduction

- [1] This is an application under section 31 of the *Workplace Safety and Insurance Act, 1997* (the WSIA) by the third party defendant in an action filed in Kenora, in the Ontario Superior Court as File No. CV-12-027.
- [2] The action arises from an injury sustained by a worker in the course of her employment on July 14, 2010. She was employed by the Municipality as a teachers' aide in a daycare facility operated by the Municipality (the applicant). Pursuant to a Lease agreement between the School Board (the respondent) and the Municipality dated December 16, 2008 (the "Lease"), the Municipality operated the day care facility on premises within a school which it rented from the School Board. The worker slipped and fell on the leased premises during the course of her employment on July 14, 2010. Pursuant to *Ontario Regulation 175/98*, the Municipality is a Schedule 1 employer. The School Board is a Schedule 2 employer.
- [3] The worker filed a claim for benefits with the WSIB, which was granted. The WSIB brought a subrogated action in the worker's name against the School Board, alleging that the School Board was the owner and/or occupier of the premises where the worker fell and was responsible for the maintenance of the premises.
- [4] The School Board brought a Third Party Claim against the Municipality. In the Amended Third Party Claim, the School Board's claims include the following:
- A declaration that the Municipality defend it and indemnify it regarding the plaintiff's (worker's) claim, pursuant to the terms of the Lease;
 - A declaration that it is entitled to contribution or indemnity from the Municipality for any damages or claims which the plaintiff may recover from the School Board in the main action, save and except for any fault or negligence determined under the *Negligence Act*.
- [5] The School Board pleaded that, if the action is successful against it, the Municipality is obligated to indemnify it pursuant to the terms of the Lease. In the Third Party Claim, the School Board relies upon a clause of the Lease which required the Municipality to include the School Board as an "Additional Insured" under liability insurance obtained for the leased premises.

(ii) Issue

- [6] The respondent asserted that the Tribunal did not have jurisdiction to hear this application, as the Amended Third Party Claim removed all allegations of fault or negligence against the applicant. Therefore, in the respondent's submission, the Tribunal does not have jurisdiction to hear the application, as relates to an action in contract.
- [7] A pre-hearing conference was convened to address the jurisdictional issue raised by the respondent.
- [8] The preliminary issue to address in this decision is as follows: Does the Tribunal have jurisdiction to hear this section 31 application brought by the Municipality, the third party defendant in the action?

(iii) Law and policy

[9] Section 31 of the WSIA sets out the scope of the Tribunal's jurisdiction in a right to sue application and states in part:

31(1) A party to an action or an insurer from whom statutory accident benefits are claimed under section 268 of the *Insurance Act* may apply to the Appeals Tribunal to determine,

- (a) whether, because of this Act, the right to commence an action is taken away;
- (b) whether the amount that a person may be liable to pay in an action is limited by this Act; or
- (c) whether the plaintiff is entitled to claim benefits under the insurance plan.

(2) The Appeals Tribunal has exclusive jurisdiction to determine a matter described in subsection (1).

(3) A decision of the Appeals Tribunal under this section is final and is not open to question or review in a court.

[10] Pursuant to the operation of sections 26 to 28 of the WSIA, a Schedule 1 worker may not bring an action against his or her employer in relation to a workplace injury or disease. There is no dispute in this case that the worker would not be entitled to bring an action against her own employer, the Municipality.

[11] As the third party defendant to the subrogated action, the Municipality seeks a remedy pursuant to section 29, which states:

29(1) This section applies in the following circumstances:

- 1. In an action by or on behalf of a worker employed by a Schedule 1 employer or a survivor of such a worker, any Schedule 1 employer or a director, executive officer or another worker employed by a Schedule 1 employer is determined to be at fault or negligent in respect of the accident or the disease that gives rise to the worker's entitlement to benefits under the insurance plan.
- 2. In an action by or on behalf of a worker employed by a Schedule 2 employer or a survivor of such a worker, the worker's Schedule 2 employer or a director, executive officer or another worker employed by the employer is determined to be at fault or negligent in respect of the accident or the disease that gives rise to the worker's entitlement to benefits under the insurance plan.

(2) The employer, director, executive officer or other worker is not liable to pay damages to the worker or his or her survivors or to contribute to or indemnify another person who is liable to pay such damages.

(3) The court shall determine what portion of the loss or damage was caused by the fault or negligence of the employer, director, executive officer or other worker and shall do so whether or not he, she or it is a party to the action.

(4) No damages, contribution or indemnity for the amount determined under subsection (3) to be caused by a person described in that subsection is recoverable in an action.

(iv) Submissions

[12] Counsel for the respondent relied upon written submissions filed by counsel for the WSIB, dated September 9, 2015. According to that submission, "the WSIB does question the jurisdiction of the Appeals Tribunal to entertain the Application..." Counsel for the WSIB relies

primarily upon *Decision No. 518/10*, and also refers to *Decision Nos. 764/90, 413/92, and 890/94*. He submitted that the Tribunal lacks jurisdiction because the Amended Third Party Claim removed all allegations of negligence and it is an action in contract based upon the terms of the Lease.

- [13] Counsel for the applicant takes the position that the Tribunal has jurisdiction to determine the application. In a written submission dated September 25, 2015, counsel for the applicant submits that, despite the amendments to the Third Party Claim, it is still a claim based in negligence and fault. In his submission, the operation of the indemnity clause of the Lease would only arise out of some fault regarding the maintenance of the premises or failure to maintain the premises. Counsel for the applicant notes that the Municipality is a Schedule 1 employer that has paid premiums under WSIA. If the Third Party Claim proceeds, then the Municipality, a Schedule 1 employer, could be found liable to indemnify the Schedule 2 employer and pay costs in respect of a workplace accident. Counsel for the applicant submits that this is contrary to the “historic trade-off,” as described by the Supreme Court of Canada in *Pasiechnyk v. Saskatchewan Workers’ Compensation Board*, [1997] 2 S.C.R. 890.

(v) Conclusion and analysis

- [14] I find that the Tribunal possesses the statutory jurisdiction to hear this application.
- [15] The Municipality’s application falls within the scope of the exclusive jurisdiction conferred upon the Tribunal through section 31. Pursuant to section 31, a party to an action may apply to the Appeals Tribunal to determine, among other issues, “whether the amount that a person may be liable to pay in an action is limited by this Act.” In turn, subsection 29(2) provides that, in an action relating to a workplace injury in which the Schedule 1 employer is found to be at fault, a Schedule 1 employer is not liable to pay damages to the worker or to contribute or indemnify another person who is liable to pay such damages. While there is certainly an issue in dispute regarding the extent of the Municipality’s “fault” and its role in the Third Party Claim, this does not undermine the Tribunal’s jurisdiction to consider the application under section 31 of the WSIA.
- [16] It is well established in the Tribunal’s case law that the term “action,” used in the statute includes a third party claim and that the Tribunal has jurisdiction to consider a right to sue application arising from a third party claim. See, for example, *Decision No. 764/90*. It is also established that the Tribunal has the jurisdiction to make a declaration under section 29 in relation to a third party action. See, for example, *Decision Nos. 2197/05 and 2174/12*.
- [17] None of the authorities produced by the WSIB demonstrate that the Tribunal has declined jurisdiction in analogous circumstances. These authorities may be relevant to the merits of the application, but they do not justify the Tribunal declining to exercise its statutory jurisdiction to hear this application.
- [18] The facts of *Decision No. 518/10* are most analogous to this case. That decision addressed a right to sue application by a plaintiff who slipped and fell on a wet floor in September 2001. The plaintiff was assigned by her Schedule 1 employer to work as a security guard at Revenue Canada offices. The plaintiff brought the action against the Attorney General of Canada in respect of injuries suffered in the accident. The Attorney General brought third party proceedings against the company that owned the building. The building owner brought fourth party proceedings against the company with which it contracted for janitorial services.

The third and fourth parties brought an application for a declaration under subsections 29(3) and (4) of the WSIA regarding damages, contribution, or indemnity. The third and fourth parties were Schedule 1 employers. The Attorney General was not a Schedule 1 employer. The facts of *Decision No. 518/10* are different from this case in that the worker's own employer was not added as a party.

[19] In *Decision No. 518/10*, the Vice-Chair found that the right of action against the Attorney General was not taken away. No damages, contribution, or indemnity were recoverable against the third and fourth parties (Schedule 1 employers) with respect to the injury suffered by the plaintiff when she slipped at work. The Vice-Chair held, however, that this declaration did not extend to damages claimed by the Attorney General against the building owner for breach of a contractual obligation to include the Attorney General as a named insured in its insurance policy with respect to the premises. The damages allegedly suffered by the Attorney General as a result of this breach did not arise because of any negligent acts of the building owner. Rather, they arose because of the owner's failure to maintain insurance on the premises in the name of the Attorney General. The Vice-Chair noted that Tribunal decisions have recognized that there may be causes of action that are inter-related with the facts of a workplace insurance claim but which are not actions that are with respect to the fault or negligence of the parties as it relates to the accident giving rise to the workplace insurance claim. The right of action by the Attorney General against the building owner was not taken away regarding alleged breaches of contract, and the building owner was not entitled to a declaration regarding damages, contribution or indemnity as related to the alleged breaches of contract.

[20] It is notable that the Vice-Chair in *Decision No. 518/10* did not find that the Tribunal lacked jurisdiction to decide the application, but rather, made a decision on the merits of the application following a full hearing. The Vice-Chair did provide a declaration pursuant to section 29 of the WSIA, although it did not apply to the alleged breaches of contract. Accordingly, *Decision No. 518/10* is not persuasive authority for the argument that the Tribunal does not have jurisdiction to hear this application.

[21] The other decisions cited by counsel for the WSIB (*Decision Nos. 764/90, 413/92, and 890/94*) were decided under predecessor legislation; I note there are some substantive differences between the right to sue provisions of the WSIA and previous versions of the statute. Furthermore, none of these cases provide an example of the Tribunal declining to exercise jurisdiction in a right to sue application in similar circumstances. In each case, the Tribunal took jurisdiction over the application and made findings on the merits. Counsel for the WSIB relies upon *Decision No. 764/90* for the proposition that there was nothing in section 8 of the pre-1989 *Workers' Compensation Act* that gave the Tribunal the statutory authority to declare that a Third Party Claim brought by a Schedule 2 employer against the deceased worker's employer had been taken away. In the result, however, the Panel did make an order that no damages could be recovered from the Schedule 2 employer for negligence attributed to the Schedule 1 employer.

[22] Counsel for the WSIB submitted that *Decision No. 413/92* stands for the proposition that "nothing in the Act gives the Tribunal jurisdiction to interpret the appropriateness of the third party action." I am unable to endorse this interpretation of the decision. *Decision No. 413/92* addressed an action arising out of an airplane accident. In that case, the four crew members elected to receive benefits under the *Workers' Compensation Act*. The airline, a Schedule 2 employer, brought a subrogated action in its own name against several defendants. The defendants brought a third party action against two of the injured crew members claiming

contribution and indemnity. In that case, the Panel found that the facts of the case did not bring it within the provisions of the applicable Act, because the statutory terms did not apply to workers of a Schedule 2 employer. Under that legislation, there was no limit on the right to bring an action or to recover damages or contribution against Schedule 2 workers based on their own negligence. That is quite distinguishable from this case, which involves a claim for contribution and indemnity against a Schedule 1 employer. Furthermore, the Panel's comments about the limits of the Tribunal's jurisdiction pertained to the Schedule 2 employer's attempt to limit the nature of its subrogated action and the application of the *Rules of Civil Procedure*. In my view, *Decision No. 413/92* is both factually and legally distinguishable from the jurisdictional issue raised in this case.

[23] *Decision No. 890/94* addressed a number of issues arising from the plaintiff's injury incurred while climbing a ladder outside of a building owned by the defendant. The defendant brought a third party claim against the lessee of the building and the companies that constructed the building. The lessee brought a fourth party claim against its insurance broker and insurance companies. The aspect of the decision relied upon by the WSIB appears to relate to a claim brought against an insurance company and an insurance broker, described as third parties. There is no indication in the decision that these "third parties" were Schedule 1 or Schedule 2 employers. Therefore, the Panel's finding that it did not have jurisdiction to consider this issue is distinguishable from this case, in which the application has been brought by a Schedule 1 employer named as a Third Party Defendant.

[24] The case law cited by counsel for the WSIB gives rise to two observations. First, it is important to appreciate the distinction between the arguments on the merits of the application and the Tribunal's exclusive jurisdiction to hear and decide the application. The opposing parties to an application pursuant to section 31 of the WSIA may certainly advance competing arguments on the merits, but, pursuant to section 31 of the WSIA, it is within the Tribunal's jurisdiction to make the determination on the merits in accordance with the applicable statutory provisions and case law. Secondly, in understanding and interpreting the right to sue provisions of the applicable statute and the Tribunal's case law, it is important to appreciate the distinction between a finding that the action is removed by the Act, and an order limiting a party's liability to contribute to or indemnify another party who is liable to pay damages in the action. In certain circumstances, the legislation may allow for the latter declaration, but not the former, but that does not undermine the Tribunal's jurisdiction to hear the application and make a determination under section 31.

[25] In summary, the applicant in this case is a Schedule 1 employer which has been named as a third party in an action arising from a workplace injury sustained by one of its employees. The facts are distinguishable from the cases cited by counsel for the WSIB in which it was found that the Tribunal did not have jurisdiction to make a determination. The merits of the competing arguments are yet to be determined, but the nature of the application falls within the scope of the Tribunal's jurisdiction as defined by section 31 of the WSIA. The arguments advanced on behalf of all parties will be canvassed through a full hearing on the merits.

[26] The parties had previously raised concerns about the location of the hearing. They may address those concerns to the Tribunal's Scheduling Department.

DISPOSITION

[27] The Tribunal has jurisdiction to hear this application. The hearing shall reconvene to hear the application on its merits. I am seized of the application.

DATED: October 30, 2015

SIGNED: R. McCutcheon